I was running /compact in the middle of my session, like around 50-65% in, and Claude immediately re-read expenses.py, test_expenses.py, expenses.csv, and report.txt to rebuild its context from the actual files, instead of relying on the chat history. That showed me that /compact is not just summarizing the conversation. It forces Claude to re-ground itself in the real current state of the current code, which is way more reliable than trusting some long summary of the codebase. The annoying part is the /compact loses small details, like the specific validation messages or why a certain edge case was handled a certain way. So for a longer project I would definitely want to keep a short informative file like remember.md that Claude can re-read instead of depending on memory. Overall, /compact let the session keep going past where the context would have run out and the automatic re-reads kept the code accurate. I just had to restate a couple small preferences afterward. I would use it again but I would pair it with a written informative file for anything non-trivial.